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What's News

Business & Finance

◆ **Markets cheered** a December inflation report that suggested underlying price pressures are easing, but the Fed isn't likely to cut interest rates anytime soon given Trump's plans for the economy. **A1**

◆ **Major U.S. indexes** made sturdy gains, with the S&P 500, Nasdaq and Dow industrials rising 1.8%, 2.5% and 1.7%, respectively. The yield on the 10-year Treasury note fell 0.13 percentage point to 4.653%. **B1**

◆ **Big bank profits surged** in the fourth quarter and Wall Street roared back to life, with net income rising 50% at JP-Morgan Chase and more than doubling at Goldman Sachs. **A1**

◆ **Nate Anderson**, the short-seller who wiped billions of dollars off companies' market values, is closing his firm, citing the stress of the job. **B1**

◆ **BlackRock's profit rose** and assets under management edged up to a record \$11.55 trillion in the fourth quarter. **B9**

◆ **Drake sued** Universal Music for defamation, arguing the label profited from Kendrick Lamar's diss track "Not Like Us," in which Lamar calls Drake a pedophile. **B1**

◆ **Pfizer said it sold** 700 million shares in British consumer-healthcare business Haleon for the equivalent of \$3.05 billion. **B3**

◆ **GM signed** a multibillion-dollar deal with Norway's Vinanode for the delivery of synthetic anode graphite, a material to be used in next-generation EV batteries. **B4**

◆ **Indonesia's central bank** caught markets off guard with a surprise rate cut, emphasizing the need to support economic growth. **A9**

World-Wide

◆ **Negotiators for Israel** and Hamas agreed to a deal to pause fighting in Gaza, Arab mediators and the U.S. said, opening a path to end a 15-month war that has laid waste to the enclave, sparked a wider regional war and roiled politics in the West. **A1**

◆ **Biden, in a farewell** address to the nation, said that an oligarchy and a tech industrial complex were taking hold in America, warning of the risks of unchecked power. **A4**

◆ **Pam Bondi**, Trump's nominee for attorney general, sought in a confirmation hearing to portray herself both as an independent law enforcer and the president-elect's defender. **A4**

◆ **Sen. Marco Rubio**, the pick for secretary of state, painted a dark vision of the consequences of America's "unbalanced relationship" with China. **A4**

◆ **Vivek Ramaswamy**, tapped to co-direct the proposed DOGE government cost-cutting exercise, is open to an idea pushed by Trump that he take the U.S. Senate seat in Ohio vacated by JD Vance, a person familiar with the discussions said. **A4**

◆ **House Speaker Johnson** with Trump's backing abruptly removed the chairman of the committee responsible for overseeing the nation's intelligence agencies, people familiar with the matter said. **A2**

◆ **Congestion pricing** in New York City has reduced traffic, cheering backers but disappointing businesses that reported a decline in customer numbers. **A2**

◆ **The FDA banned** the use of Red No. 3, an artificial dye linked to cancer in animals, from food and ingested drugs. **A3**

CONTENTS Markets Digest..... B8
Arts in Review..... A13 Opinion..... A15-17
Business News..... B3 Personal Journal A11-12
Crossword..... A14 Sports..... A14
Equities..... B6 Technology..... B4
Hearings on Street..... B10 U.S. News..... A2-6
Markets..... B9 World News A8-9, A18



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Negotiators Reach Gaza Cease-Fire Deal



Representatives for Israel, Hamas set an agreement they had resisted for months

By SUMMER SAID
AND CARRIE KELLER-LYNN

Negotiators for Israel and Hamas agreed to a deal to pause fighting in the Gaza Strip, Arab mediators and the U.S. said on Wednesday, opening a pathway to end a 15-month war that laid waste to the enclave, sparked a wider regional war and roiled politics in the West.

The cease-fire agreement would take effect on Sunday, said Qatar's prime minister, Mohammed bin Abdulrahman Al Thani. He said Qatar, alongside Egypt and the U.S.—all of whom helped mediate the agreement—will work to ensure its implementation.

President Isaac Herzog of Israel welcomed the cease-fire deal, calling on Prime Minister Benjamin Netanyahu's government to approve it.

Netanyahu's office said a number of details were pending completion but they were expected to be resolved soon. A main pending issue is the list of Palestinian prisoners to be released by Israel in exchange for the hostages in Gaza, an Israeli official said.

The accord needs approval
Please turn to page A8

◆ **Global upheaval paved way for cease-fire deal.....** A8

◆ **Israel prepares for long-term care for hostages.....** A8



News of the Israel-Hamas agreement for a pause in fighting brought celebrations Wednesday in Tel Aviv, top, where family members and supporters of Israeli hostages have regularly held rallies, and among Palestinians in Deir Al-Balah in Gaza.

JPMorgan, Goldman Post Surge In Profits

Big bank profits surged in the fourth quarter and Wall Street roared back to life, with net income rising 50% at JP-Morgan Chase and more than doubling at Goldman Sachs.

By Alexander Saeedy,
AnnaMaria Andriotis
and Gina Heeb

The banks benefited as big corporate clients grew optimistic about the economy and the Trump administration, spurring a return to dealmaking, fundraising and trading.

Bankers said an enormous appetite for capital is being driven by an acceleration of deal activity and companies' financing needs. Corporate clients and CEOs around the world are confident and looking to finance big-ticket in-

Please turn to page A6

◆ **Hear'd on the Street: Lending growth is constrained.....** B10

Hobbyists Race to Save A Railroad

Wanted: Home buyer who loves trains—and us!

By BETSY MCKAY

ROCKY HILL, N.J.—Jeff Bernardis had to keep the trains running on time.

Perched at a bank of computer monitors, he relayed orders to the engineers of nearly a dozen trains ferrying oil, beer and circus animals on a dizzying network of routes.

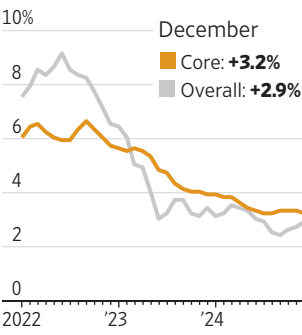
"You want to come out of C52, not C50," he called to an engineer. "Take down that signal," he said to an associate to get a train headed in the right direction.

Bernardis wasn't in a Union Pacific control room. He was in the basement of a suburban home.

Please turn to page A12

Investors Cheer Muted Inflation Data

Consumer-price index, change from a year earlier



Note: Core excludes food and energy prices.
Source: Labor Department

By PAUL KIERNAN

Markets cheered a December inflation report that suggested underlying price pressures are easing, but the Federal Reserve still isn't likely to cut interest rates anytime soon given President-elect Donald Trump's plans for the economy.

The overall consumer-price index came in relatively hot, rising 2.9% over the year, the Labor Department said Wednesday. The index rose 0.4% from the previous month, driven by a 4.4% jump in gaso-

line prices.

The so-called core CPI, which excludes volatile food and energy prices, rose 0.2%, its smallest gain since July and less than the 0.3% increase expected by economists.

Investors homed in on the core prices, sending stocks and bonds higher. But the data aren't significant enough to change Fed officials' plan to hold interest rates steady while they await the tariffs, tax cuts and immigration crackdown that Trump has promised to deliver. The Fed meets in two weeks and has

widely telegraphed that it is taking a break from rate cuts.

The three major U.S. stock indexes all recorded their best day since the post-election rally on Nov. 6. The Dow Jones Industrial Average rose by more than 700 points, with both that index and the S&P 500 logging gains of more than 1.7%. The Nasdaq Composite added 2.5%.

Please turn to page A6

◆ **Hear'd on the Street: Inflation remains too high.....** B10

◆ **James Mackintosh: What if Fed pivots again?.....** B10

Residents Defy Rules in L.A. Burn Zones

People hold their ground in neighborhoods struck by fires, skirting evacuation orders

LOS ANGELES—In the still-smoldering neighborhoods of Altadena, where fires destroyed more than 2,700 structures, about 80 people have defied orders to evacuate, staying behind to protect what is left of their properties from looters and more fires after losing faith in authorities.

Residents patrol streets and interro-

gate strangers, living in a Hobbesian world without electricity or clean drinking water. Some are armed. They are hemmed in by yellow caution tape at neighborhood entrances flanked by

National Guard troops, Los Angeles County Sheriff deputies and California Highway Patrol officers.

"We do feel like we're in the Wild West," said Aaron Lubeley, a 53-year-old lawyer who is one of the holdouts and serves as an unofficial emissary with police and fire representatives.

Please turn to page A10

Even Harvard M.B.A.s Struggle to Score Jobs

By LINDSAY ELLIS

Landing a professional job in the U.S. has become so tough that even Harvard Business School says its M.B.A.s can't solely rely on the university's name to open doors anymore.

Twenty-three percent of job-seeking Harvard M.B.A.s who graduated last spring were still looking for work three months after leaving campus. That share is up from 20% the previous year, during a cooling white-collar labor market; the figure was 10% in 2022, according to the school.

"We're not immune to the difficulties of the job market," said Kristen Fitzpatrick, who oversees career development and alumni relations for HBS. "Going to Harvard is not going to be a differentiator. You have to have the skills."

Harvard isn't the only elite business school where recent grads seem to be stumbling on

their way into the job market.

More than a dozen top-tier M.B.A. programs, including those at the University of Pennsylvania's Wharton School, Stanford's Graduate School of Business and New York University's Stern School of Business, had worse job-placement outcomes last year than any other in recent memory.

Most M.B.A.s from top schools end up with good-paying jobs, and school officials said they have an edge in the white-collar job market. But the three-month figure is closely watched because it signals hiring demand for corporate climbers in high-wage fields and it usually gives schools a statistic to woo young professionals into investing in a management degree.

Ronil Diyora, from Surat, India, received his M.B.A. from the University of Virginia's top-ranked Darden

Please turn to page A12

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